Coalition proposes $31b in spending cuts as fiscal policy debate heats up

> The Opposition has released Parliamentary Budget Office costings for $31.3b of savings over four years, which would pay for income tax changes. The debate is really about whether government spending is helping keep interest rates high.

WHAT HAPPENED

- The PBO-costed savings total **$31.3b over four years**.
- The cuts would fund a **$9.7b plan to index income tax brackets** and scrap the $250 workers' tax offset. Other Coalition policies, such as cutting net migration and raising defence spending, are not yet costed.
- The Opposition argues that **government spending is fuelling inflation** and keeping mortgage rates high.
- Treasurer **Chalmers says private demand is growing faster than public demand** and that the government is budgeting responsibly. The December budget update (MYEFO) will include more savings.
- Hunter (RBA) said public spending is **part of total demand** but would not advise governments on how much to spend.

Fiscal stance: whether the budget is adding to (expansionary) or subtracting from (contractionary) demand

Bracket creep: when inflation pushes taxpayers into higher tax brackets; indexing the brackets prevents it

KEY NUMBERS

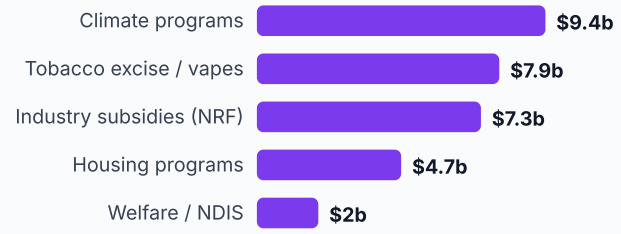
$31.3b
proposed savings, 4 years

$9.7b
cost of tax bracket indexation

$9.4b
climate program cuts

4.60%
cash rate (RBA meets 3 Nov)

BAR CHART — Where the Coalition's proposed $31.3b in savings would come from ($b, 4 years)



The biggest cuts would fall on **climate programs** (EV and battery subsidies, ARENA functions) and **industry subsidies** such as green aluminium, hydrogen and the National Reconstruction Fund. **Housing cuts** would include Help to Buy, the social housing fund and build-to-rent tax incentives.

The tobacco figure assumes some smokers switch back to legal cigarettes.

COMPARE — Should fiscal policy help the RBA?

Case for fiscal tightening

- Cuts aggregate demand, so the RBA may need fewer rate rises
- Easing pressure on the cash rate would help mortgage holders
- Rebuilds fiscal buffers for future downturns

Case against / limitations

- Private demand is growing faster than public demand
- Cuts to climate and housing programs may slow structural goals
- Funding tax cuts with the savings leaves the net effect on demand small

Exam angle: when fiscal policy is expansionary while monetary policy is contractionary, the two **work against each other**. Note that the savings here fund tax cuts, so the net change in the budget balance, not the gross cut, is what matters for demand.

SYLLABUS LINK

Topic 4 – fiscal policy: the budget outcome and fiscal stance; how fiscal and monetary policy interact; the limits of fiscal policy; tax reform (bracket indexation).

TRY THIS

1. Explain how an expansionary fiscal stance can reduce the effectiveness of monetary policy. **(4 marks)**
2. Should fiscal policy be tightened to help the RBA control inflation? Assess the trade-offs. **(6 marks)**

Sources:
1. ABC News – Coalition says cuts to climate, housing and more would save $31b – https://www.abc.net.au/news/2026-10-26/coalition-says-cuts-to-save-budget-31-billion/107310512

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.